

2025/26 Guidance: Not Quite There

Ticker: SLCE3 BZ | **Target Price:** 20.00 (BRL) | **Rating:** NEUTRAL

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Higher costs and area mix soften the 2026 outlook; updating model, trimming estimates, keeping Neutral

SLC released its first forecast for the 2025/26 crop (see Table 1). In summary, it featured:

- **Planted Area (ha):** total planted area is expected at 836k ha, up 14% YoY and in line with BBle, reflecting the acquisition of Sierentz. By crop, the guidance points to: (i) cotton +12% YoY (-7% vs. BBle); (ii) soybean +14% YoY (-3% vs. BBle); and (iii) corn +29% YoY (+11% vs. BBle). We view the planted area mix as a negative, as cotton and soybean, which carry higher contribution margins per hectare, came in below our expectations.
- **Yields (kg/ha):** productivity is expected to be strong across the board. The guidance points to: (i) cotton yield at an all-time high (+2% YoY; +2% vs. BBle); (ii) soybean yield also at a record (+2% YoY; +1% vs. BBle); and (iii) corn yield at the second-highest on record (-6.5% YoY; +3% vs. BBle). Yields naturally depend on weather conditions, but if SLC's expectations materialize, this would be the main positive from the guidance.
- **Production Costs (R\$/ha):** on a per-hectare basis, production costs are expected at: (i) cotton +9% YoY (+3% vs. BBle); (ii) soybean +11% YoY (+5% vs. BBle); and (iii) corn +12% YoY (+5% vs. BBle). Higher-than-expected production costs are clearly a negative, with SLC citing greater fertilizer requirements to replenish soil nutrition and enhancements in crop protection packages as the main drivers.
- **Unit Costs (R\$/ton):** putting it all together, unit costs should rise across the board: (i) cotton +7% YoY (+1% vs. BBle); (ii) soybean +9% YoY (+4% vs. BBle); and (iii) corn +19% YoY (+2% vs. BBle). Even when factoring in stronger yields, unit costs exceeded our expectations for all the main crops, which reinforces the negative trend for margins in 2025/26.

Our take: Relative to our previous expectations, the combination of (i) a less favorable planted area mix and (ii) higher unit costs sets a more challenging path for SLC in FY2026. This adds to a weaker commodity price backdrop, given the comfortable global S&D for soft commodities (see our latest WASDE report for more details), and the natural risk of yields surprising to the downside (even though planting conditions look better than last year). On the positive side, SLC was once again assertive in its hedging strategy, without which margins would have been even more pressured.

We are updating our model to incorporate the new guidance as well as our latest macro and commodity price assumptions. Our 2026 EBITDA estimate is now R\$2.8bn (-6% vs. our previous estimate; -6% vs. consensus), with a 31.5% margin (-130bps YoY). We continue to see SLC offering an attractive long-term value proposition, but believe the bearish commodity backdrop, combined with a mild carryover story (2026E dividend yield of ~5%), should limit catalysts in the near term. Our YE26 TP is down to R\$20/sh (from R\$22), while our Neutral rating remains unchanged.

Table 1 - SLC - 2025/26 Guidance

Planted Area ('000 ha)	2025/26			2024/25	
	Guidance	BBle	Change	Realized*	YoY
Cotton	199,714	214,828	-7.0%	178,803	11.7%
Cotton - 1st Crop	103,334	110,340	-6.3%	95,460	8.2%
Cotton - 2nd Crop	96,380	104,488	-7.8%	83,343	15.6%
Soybean	429,702	443,031	-3.0%	377,531	13.8%
Corn - 2nd Crop	158,249	142,104	11.4%	122,748	28.9%
Others	48,430	35,944	34.7%	56,824	-14.8%
Total	836,095	835,907	0.0%	735,906	13.6%

Yield (kg/ha)	2025/26			2024/25	
	Guidance	BBle	Change	Realized*	YoY
Cotton	2,025	1,981	2.3%	1,986	2.0%
Cotton - 1st Crop	2,066	2,010	2.8%	1,833	12.7%
Cotton - 2nd Crop	1,982	1,950	1.6%	2,161	-8.3%
Cotton Seed	2,491	2,389	4.3%	2,395	4.0%
Soybean	4,036	3,990	1.2%	3,960	1.9%
Corn - 2nd Crop	7,738	7,500	3.2%	8,274	-6.5%

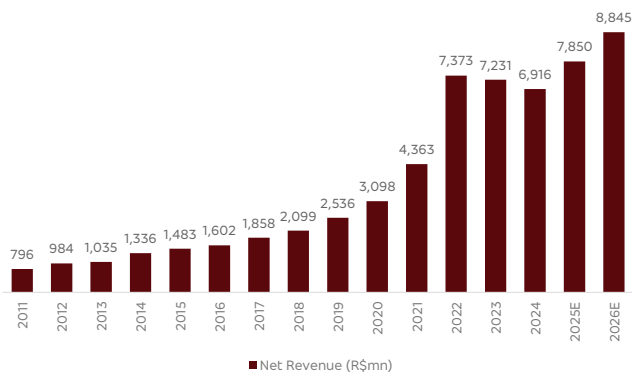
Production ('000 tons)	2025/26			2024/25	
	Guidance	BBle	Change	Realized*	YoY
Cotton	405	426	-4.9%	355	13.9%
Cotton - 1st Crop	213	222	-3.7%	175	22.0%
Cotton - 2nd Crop	191	204	-6.2%	180	6.1%
Cotton Seed	497	513	-3.1%	428	16.2%
Soybean	1,734	1,768	-1.9%	1,495	16.0%
Corn - 2nd Crop	1,225	1,066	14.9%	1,016	20.6%

Production Cost (R\$/ha)	2025/26			2024/25	
	Guidance	BBle	Change	Realized*	YoY
Cotton	13,399	13,023	2.9%	12,311	8.8%
Cotton - 1st Crop	13,877	13,649	1.7%	12,876	7.8%
Cotton - 2nd Crop	12,887	12,363	4.2%	11,663	10.5%
Soybean	5,178	4,939	4.8%	4,659	11.1%
Corn - 2nd Crop	4,434	4,205	5.4%	3,967	11.8%

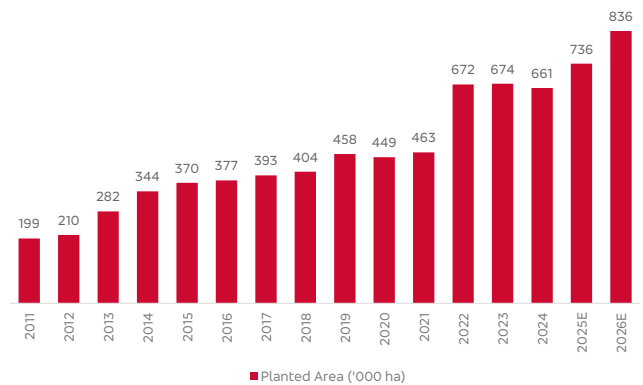
Unit Cost (R\$/ton)	2025/26			2024/25	
	Guidance	BBle	Change	Realized*	YoY
Cotton	6,615	6,575	0.6%	6,199	6.7%
Cotton - 1st Crop	6,717	6,790	-1.1%	7,025	-4.4%
Cotton - 2nd Crop	6,502	6,340	2.6%	5,397	20.5%
Soybean	1,283	1,238	3.6%	1,177	9.0%
Corn - 2nd Crop	573	561	2.2%	479	19.5%

Source: Company Information and Bradesco BBI

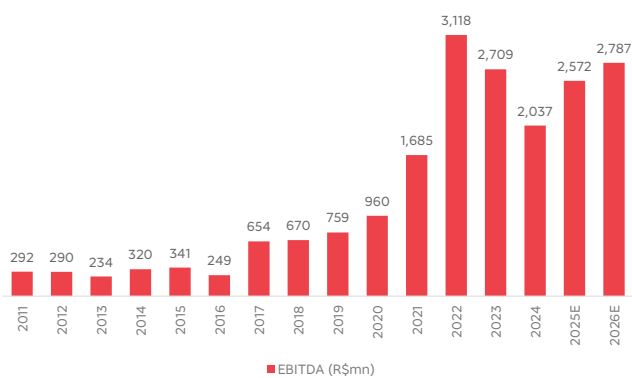
*Based on actual figures reported in 2Q25

Figure 1 - Net Revenue (R\$mn)

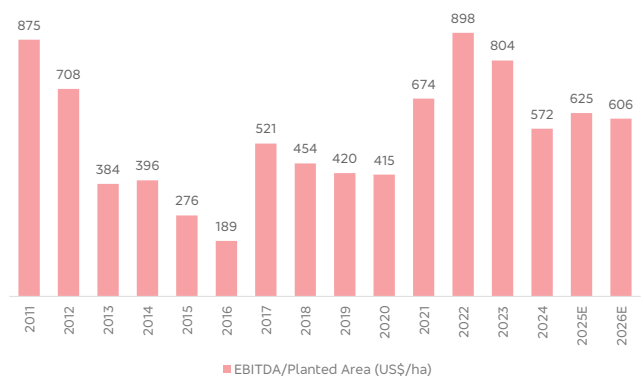
Source: Company Information and Bradesco BBI

Figure 2 - Planted Area ('000 ha)

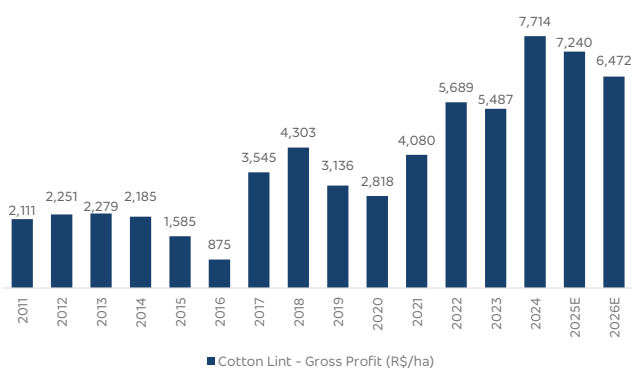
Source: Company Information and Bradesco BBI

Figure 3 - EBITDA (R\$mn)

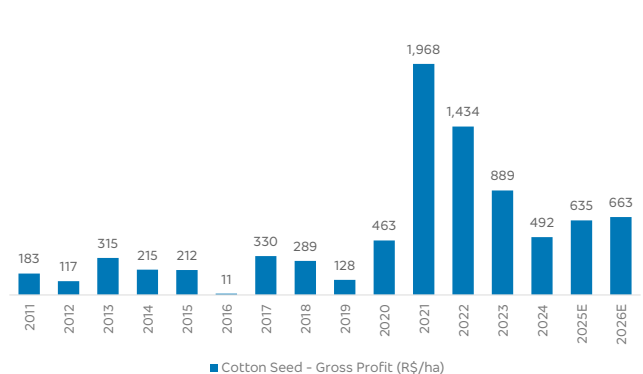
Source: Company Information and Bradesco BBI

Figure 4 - EBITDA per Planted Area (US\$/ha)

Source: Company Information and Bradesco BBI

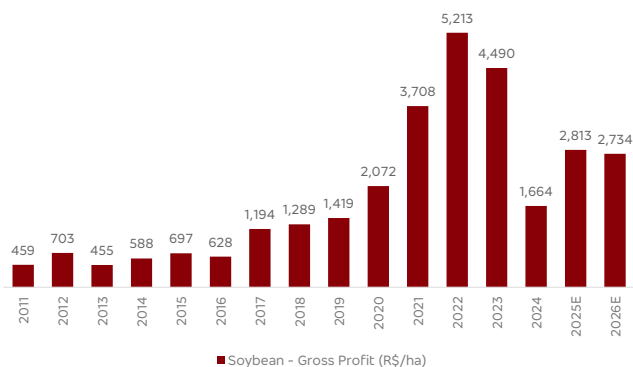
Figure 5 - Cotton Lint - Gross Profit per Hectare (R\$/ha)

Source: Company Information and Bradesco BBI

Figure 6 - Cotton Seed - Gross Profit per Hectare (R\$/ha)

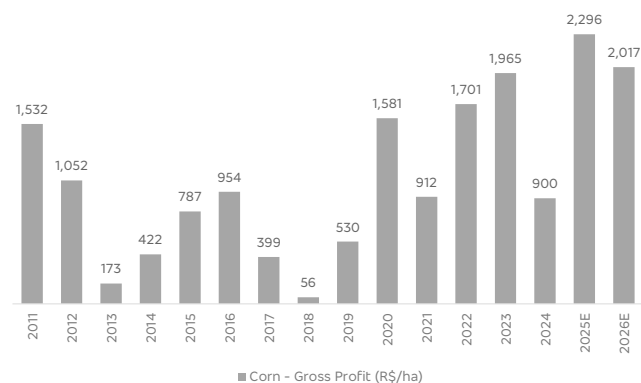
Source: Company Information and Bradesco BBI

Figure 7 - Soybean - Gross Profit per Hectare (R\$/ha)



Source: Company Information and Bradesco BBI

Figure 8 - Corn - Gross Profit per Hectare (R\$/ha)



Source: Company Information and Bradesco BBI

Table 2 - SLC - New vs. Old Estimates

	Unit	New	Old	2025 Chg (%)	Street	vs. Street	New	Old	2026 Chg (%)	Street	vs. Street
Net Revenue	R\$ mn	7,850	7,912	-1%	8,372	-6%	8,845	8,443	5%	8,803	0%
EBITDA	R\$ mn	2,572	2,631	-2%	2,773	-7%	2,787	2,950	-6%	2,961	-6%
EBITDA margin	R\$ mn	32.8%	33.3%	-0.5pp	33.1%	-0.4pp	31.5%	34.9%	-3.4pp	33.6%	-2.1pp
Net Income	%	770	755	2%	852	-10%	750	966	-22%	874	-14%

Source: Bloomberg, Company Information and Bradesco BBI

Table 3 - SLC - Income Statement

SLC (R\$ mn)	2023	2024	2025E	2026E	2027E	2028E
Net Revenue	7,231	6,916	7,850	8,845	9,420	10,207
(-) COGS	(4,415)	(4,770)	(5,095)	(5,898)	(6,388)	(6,876)
(+/-) Biological Assets (net)	(195)	162	222	0	0	0
Gross Profit	2,621	2,308	2,977	2,947	3,031	3,332
(-) Total SG&A	(698)	(786)	(864)	(940)	(1,001)	(1,085)
(+/-) Other Operating	38	(8)	(23)	0	0	0
(+/-) Capital Gains	(26)	(0)	(0)	0	0	0
EBIT	1,935	1,513	2,090	2,007	2,030	2,247
(+) D&A	519	575	692	780	831	900
EBITDA	2,454	2,089	2,782	2,787	2,861	3,147
Net Financial Results	(341)	(405)	(715)	(662)	(599)	(536)
(-) APV - Lease Liabilities	(283)	(306)	(310)	(304)	(294)	(281)
(+/-) FX variation & Hedges	(74)	(281)	48	0	0	0
(+/-) Others	(14)	(7)	(10)	(9)	(9)	(10)
EBT	1,224	514	1,103	1,032	1,127	1,420
(-) Income tax	(286)	(32)	(307)	(268)	(293)	(369)
(-) Minorities	(42)	28	(25)	(14)	(14)	(15)
Net Income	896	510	770	750	821	1,035
Gross Profit Adj. (R\$mn)	2,816	2,146	2,755	2,947	3,031	3,332
EBIT Adj. (R\$mn)	2,189	1,461	1,880	2,007	2,030	2,247
EBITDA Adj. (R\$mn)	2,709	2,037	2,572	2,787	2,861	3,147
EBITDA Ex-IFRS16 (R\$mn)	2,126	1,442	1,910	2,045	2,097	2,356
Adj. Gross margin	38.9%	31.0%	35.1%	33.3%	32.2%	32.6%
EBIT Adj. margin	30.3%	21.1%	24.0%	22.7%	21.6%	22.0%
EBITDA Adj. margin	37.5%	29.5%	32.8%	31.5%	30.4%	30.8%
EBITDA Ex-IFRS16 Adj. margin	29.4%	20.8%	24.3%	23.1%	22.3%	23.1%
Net margin	12.4%	7.4%	9.8%	8.5%	8.7%	10.1%

Source: Company Information and Bradesco BBI

Table 4 - SLC - Operational Breakdown

SLC	2023	2,024	2025E	2026E	2027E	2028E
Consolidated						
Planted Area (ha)	674,384	661,343	735,907	836,095	866,095	896,095
Own area	38%	38%	41%	36%	35%	33%
Leased area	62%	62%	59%	64%	65%	67%
Cotton Lint						
Cotton Area (ha)	162,243	188,734	178,803	199,714	215,541	223,007
Yield (kg/ha)	2,017	1,922	1,986	2,025	2,042	2,058
Production Vol. ('000 ton)	327	363	355	405	440	459
Unit Gross Profit (R\$/ton)	3,702	3,997	3,376	3,195	3,052	3,212
Soybean						
Soybean Area (ha)	346,941	320,009	377,531	429,702	445,120	460,538
Yield (kg/ha)	3,904	3,264	3,960	4,036	4,066	4,097
Production Vol. ('000 ton)	1,354	1,045	1,495	1,734	1,810	1,887
Unit Gross Profit (R\$/ton)	1,190	525	710	677	666	704
Corn						
Corn Area (ha)	137,585	95,167	122,748	158,249	163,927	169,605
Yield (kg/ha)	7,708	7,093	8,274	7,738	7,796	7,855
Production Vol. ('000 ton)	1,061	675	1,016	1,225	1,278	1,332
Unit Gross Profit (R\$/ton)	252	130	278	261	252	267

Source: Company Information and Bradesco BBI

Table 5 - SLC - Balance Sheet

SLC (R\$ mn)	2023	2024	2025E	2026E	2027E	2028E
TOTAL ASSETS	15,856	17,574	18,615	20,283	21,354	22,387
Current Assets	7,368	8,392	8,241	8,636	9,156	9,680
Cash	1,615	1,981	1,869	1,410	1,410	1,410
Receivables	144	251	243	274	292	316
Inventories	3,656	3,781	3,437	3,978	4,309	4,638
Biological Assets	1,489	1,785	1,788	2,069	2,241	2,412
Recoverable taxes	127	207	278	278	278	278
Other Current Assets	338	386	626	626	626	626
LT Assets	634	1,013	903	903	903	903
Fixed Assets	7,854	8,170	9,472	10,744	11,294	11,804
Investments	435	63	59	59	59	59
Right of use of assets	2,885	2,567	2,201	2,746	2,958	3,212
PP&E & Intangibles	4,534	5,539	7,212	7,938	8,277	8,532
TOTAL LIABILITIES	15,856	17,574	18,615	20,283	21,354	22,387
Current Liabilities	4,040	6,146	5,436	5,807	6,032	6,270
ST Debt	1,414	1,685	2,335	2,335	2,335	2,335
ST Leases	315	250	263	263	263	263
Payables	1,312	2,501	1,947	2,253	2,441	2,627
Advances from clients	354	532	515	580	618	669
Taxes	109	18	20	20	20	20
Other Current Liabilities	536	1,160	357	357	357	357
LT Liabilities	6,574	7,324	7,779	8,324	8,536	8,790
LT Debt	2,980	3,913	4,647	4,647	4,647	4,647
LT Leases	2,977	2,817	2,264	2,810	3,021	3,276
Other LT Liabilities	617	594	867	867	867	867
Minorities	315	107	75	75	75	75
Shareholders' Equity	4,927	3,998	5,327	6,077	6,711	7,252
Total Cash	1,615	1,981	1,869	1,410	1,410	1,410
Total Debt (IFRS16)	7,686	8,665	9,509	10,054	10,266	10,520
Net Debt (IFRS16)	6,071	6,684	7,640	8,644	8,856	9,110
Net Debt / EBITDA	2.2x	3.3x	3.0x	3.1x	3.1x	2.9x
Net Debt ex-Leases	2,779	3,617	5,113	5,572	5,572	5,572
Net Debt / EBITDA (ex-leases)	1.3x	2.5x	2.7x	2.7x	2.7x	2.4x

Source: Company Information and Bradesco BBI

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